

# GTLB pitch deck

## PITCH — GTLB — VERDICT

**ADJUDICATED 2026-08-07 — PRICE-GATED WAIT: no position, no resting order; alert-gate \$31.50, decision-gate at the Q2 print. Not impaired, not yet a buy.**

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### What we believe

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GitLab sells software that helps engineering teams write, review, test and ship code. It charges mostly per developer seat, and it is trying to add a second, usage-based revenue stream (AI agents that consume “credits”) on top of those seats.

We believe three things about it, and we hold them with different confidence:

**1. The business is not breaking.** The parts of the fundamental case that sounded alarming turned out, on the primary documents, to be either misread or already known. Revenue guidance for the year was *raised*, not cut (\$1,099–1,118M → \$1,112–1,118M). Profit guidance was *raised* (\$129–137M → \$135–141M). The most recent quarter beat its own revenue guide by ~4% and its own profit guide by ~14%. On the strict accounting measure that fully charges the cost of paying employees in stock, the loss has shrunk four years running (–32.3% of revenue → –18.8% → –7.4% → –6.0%), meaning roughly 37 cents of every incremental revenue dollar is dropping through. Balance sheet: \$1.36 billion of cash and investments, zero debt, no converts, no preferred.

**2. The thing that would justify the price cannot be verified.** The stock’s valuation requires the AI/consumption business to become large. GitLab publishes no revenue figure for it — not in the annual report, the quarterly report, either earnings release, or the investor slides. The only number that exists is an internal, self-described “evolving” metric (“consumption run-rate,” CRR) of roughly \$15M as of April 30 and “surpassed \$20 million” as of June 30, against a ~\$1.1 billion revenue guide. GitLab’s own words in an SEC filing: CRR “is not material to the Company’s financial performance at this time.” We cannot underwrite the central claim from primary sources, and unverifiable is not the same as clean.

**3. Three fundamental problems are real and neither bench could break them.** Net dollar retention — how much existing customers grow their spend — has fallen one point per quarter for five straight quarters (122 → 121 → 119 → 118 → 117%) with no floor visible. Contract length is shrinking: total contracted backlog grew 18% while near-term backlog grew 24%, and that gap widened from 4 points to 6 points in one quarter. And GitLab itself disclosed on a slide that “headwinds persist for 20% of ARR.”

**The synthesis, and the reason we are waiting:** GitLab’s own current metrics arithmetically imply faster growth than management is guiding to. Customer count +7% multiplied by retention of 117% produces roughly +25% run-rate growth; reported growth was +23.1%; the full-year guide is +16.4–17.0%. That is a 6–8 point gap. Either retention falls to ~110–112% by year-end, or the guide is

deliberately conservative. **That fork is the whole thesis, it resolves at the next earnings print, and it is not worth paying up ahead of.**

## What the market believes

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The market is not asleep on this name and we should not pretend otherwise. At the time of the court, options implied roughly 79–82% annualized volatility — the 81st-to-87th percentile of the past year — and the September straddle marked a ~24% move over six weeks, with about \$0.72 of genuine downside skew after adjusting for intrinsic value. Traders are pricing a real, two-sided, event-driven outcome.

The consensus posture reads as: *seat-based developer tools are the category most exposed if AI agents replace developer headcount, so the multiple has come down and stays down until GitLab proves the consumption business is real.* The stock is –30% from its 52-week high and was roughly flat year-to-date at the time of the court.

The market is right that the proof is absent. Where we think the market is imprecise: it is reading the *guide* as the trajectory, when the delivered numbers have beaten and the guide has been raised twice.

## Why we might have edge

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- **We decomposed the price chart instead of taking the headline.** The stock was +95.5% off its 52-week low, which reads like a completed recovery. It is not. The \$18.73 low was a one-week print during the April-2026 market liquidation. Against normal reference points the stock was +0.7% versus January, –10.8% versus December, –24.9% versus November and –30.1% from the high. Only the crash round-tripped; the underlying re-rating from November onward — which happened *before* the market break — never reversed. Our own first bench got this wrong and the second bench overturned it.
- **The guide-versus-metrics arithmetic above.** It is a clean, falsifiable fork that resolves on a known date, and it is not how most models are framed.
- **The incremental margin.** Focusing on the measure that fully charges stock compensation shows ~37 cents of incremental profit per revenue dollar, which contradicts the popular “they’re spending faster than they’re saving” reading.
- **We caught an accusation against the company that was false.** Our own screen flagged GitLab for quietly cutting a marketed metric by 25%. The primary filing shows the opposite: GitLab volunteered the cut in a dedicated SEC filing, quoted its own prior figure verbatim, gave both reasons, and had pre-warned that the definition would change. Not scoring that as dishonesty — when the screen said it was the single highest-weighted finding — is itself a form of edge.

## Why it might be priced in

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Honestly: mostly, it is.

- **The stock has moved against us since adjudication.** The court ran at \$36.62 on 2026-08-07. The tape as of 2026-08-18 is **\$40.52** — up 10.7% with no new disclosure in between. At \$36.62 the second bench’s own scenario set required roughly a **18–27%** chance of the bull case to break even. At \$40.52 the same scenarios require roughly **37–49%**. Reward-to-risk fell from about **1.39:1 to about 0.87:1**, and the price is now **above** that bench’s own base-case fair value of ~\$35.60. The setup the court adjudicated has materially decayed, which is the strongest possible confirmation that waiting was right.
- **The core unknown is unknowable from filings.** GitLab bundles AI into the seat price (\$29/user/month Premium including \$12/user/month of credits; Ultimate includes \$24), so only overage is separable — and overage is the CRR figure. A separate “AI revenue” line may never exist. Anyone waiting for it may wait forever.
- **The valuation still requires a lot.** Reverse-solving the enterprise value over a fading-growth path implies a terminal free-cash-flow margin, after charging stock comp, of roughly 19–23%. Mature application-software companies do reach that (Adobe 33%, Salesforce 26%, ServiceNow 20%). Developer-tools companies mostly have not: Atlassian 1.0% and falling, Datadog 4.8%, Zscaler 2.4%, MongoDB –2.0%, Snowflake –10.2%.
- **At least a quarter of the originally marketed consumption figure was money GitLab gave away.** The restated April number excludes “certain one-time credit incentives granted to paying customers,” and separately the company broadened AI access to *free-tier* users. Some of the AI traction is company-funded, not customer demand.

## What we checked ourselves

| Claim                                                           | How checked                                                            | Found                                                                                                                                                       | Confirmed?                                                                                                                                                         |
|-----------------------------------------------------------------|------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Metric was cut 25% five weeks after being marketed = dishonesty | Read the 8-K itself, <a href="#">2026-07-08 Item 7.01</a>              | Company volunteered it, quoted its own prior “nearly \$20 million,” gave both reasons, CFO-signed, had pre-warned on the earnings call                      | <b>NO — refuted.</b> <i>Our screen’s error: this was the highest-weighted input to a 9/10 severity score; the score was built on a premise the filing destroys</i> |
| “No dislocation left — stock at its 13- and 26-week high”       | Pulled two years of weekly bars and re-anchored                        | Only the April crash round-tripped; –24.9% vs November, –30.1% from high, roughly flat YTD                                                                  | <b>NO — overturned.</b> <i>Our first bench’s error: it used a one-week liquidation low as the anchor, the exact mistake it had correctly caught elsewhere</i>      |
| Business produces 0.48% free cash flow after stock comp         | Recomputed on a rolling twelve months instead of the stale fiscal year | 5.27% on trailing twelve months through Q1; ~8.9% if stock comp is charged at what it actually costs to buy the shares back rather than at grant-date value | <b>PARTLY.</b> <i>Our first bench’s error: printed the low point of a steeply rising series as the run rate, and charged the</i>                                   |

| Claim                                                         | How checked                                                 | Found                                                                                                                                                                                                                                            | Confirmed?                                                                                                                                        |
|---------------------------------------------------------------|-------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                               |                                                             |                                                                                                                                                                                                                                                  | same dilution three separate times                                                                                                                |
| “Margins are compressing”                                     | Compared like periods                                       | Delivered margin <i>expanded</i> 203bps year over year; the compression exists only in the guide, and the guide was raised                                                                                                                       | <b>NO. <i>Our first bench’s error</i>: compared quarter-to-prior-quarter in a business with heavy seasonality it had itself invoked elsewhere</b> |
| “EPS raise is a share-count trick hiding operational decline” | Traced the ~\$7.9M gap                                      | The gap sits below the operating line — forgone interest on buyback cash plus higher tax; the <i>operating</i> guide rose 3.8%                                                                                                                   | <b>NO — overturned. <i>Our first bench’s error</i>: contradicted a fact it had established two rows earlier</b>                                   |
| Retention decline is decelerating                             | Rebuilt the quarterly series                                | 122 → 121 → 119 → 118 → 117: a steady –1pt/quarter, no deceleration                                                                                                                                                                              | <b>Bench was wrong in the company’s favour — it compared an annual step to a quarterly step. Corrected <i>against</i> the long</b>                |
| “\$1M+ customers +26%, enterprise accelerating”               | Checked which release the figure came from                  | It is a prior-quarter number; the current release doesn’t report that cohort. The \$100k+ cohort was +18% in both quarters — flat, not accelerating                                                                                              | <b>NO — stale and flat. Bench used it as a defence of the long; it doesn’t support one</b>                                                        |
| “GitLab has co-CEOs” (a premise handed to the bench)          | Annual report controls section + 8-Ks                       | Single CEO (Bill Staples). The founder is Executive Chair                                                                                                                                                                                        | <b>NO — the premise was simply false</b>                                                                                                          |
| Buyback average price                                         | Divided the dollars by the shares from the quarterly filing | \$50.0M / 2,378,892 shares ≈ <b>\$21.02</b> . Bench one wrote \$21.04, bench two wrote \$21.15 in one place and \$21.04 in another                                                                                                               | <b>Immaterial, but both benches were loose. Conclusion unaffected: buying at ~\$21 against \$36–40 was good execution</b>                         |
| \$15M → “surpassed \$20M” is real growth                      | Read the same filing both benches cited                     | Genuinely contested. First bench called it a basis shift dressed as growth; second bench cited “closed its first deals under Flex” to argue the contribution is tiny and the move is ~+33% organic. <b>The adjudication did not resolve this</b> | <b>UNRESOLVED — treat the growth rate as unproven</b>                                                                                             |
| Net cash and capital structure                                | Balance sheet                                               | \$335.4M cash + \$1,022.1M short-term investments = \$1,357.5M; zero debt, no converts, no preferred, no warrants                                                                                                                                | <b>YES — and it favours the long</b>                                                                                                              |
| Contract duration is shrinking                                | Compared backlog series across two quarters                 | Gap between total and near-term backlog widened from 4pts to 6pts; 64% of backlog recognized within 12 months                                                                                                                                    | <b>YES — and worse than first filed</b>                                                                                                           |
| “Headwinds persist for 20% of ARR”                            | The company’s own slide                                     | Verbatim, company-disclosed, under a remediation initiative                                                                                                                                                                                      | <b>YES</b>                                                                                                                                        |

| Claim                                | How checked                             | Found                                                                                                                                                                                                                                 | Confirmed?                                                              |
|--------------------------------------|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| Executive turnover is a warning sign | Traced each departure and each backfill | Five changes in six months is real; the insinuated link between the legal chief's exit and the metric restatement doesn't hold (the restatement filing is signed by the CFO, and a replacement officer was seated in July)            | <b>Count yes, story no</b>                                              |
| <b>Recommendation itself</b>         | Adjudication over both benches          | Second bench recommended buying a 0.6% starter at \$36.62. <b>The adjudication overruled it: price-gated wait.</b> At today's \$40.52 the adjudication is ahead by ~11% and the starter would be underwater against its own base case | <b>The bench's recommendation was wrong; the adjudication was right</b> |

## PROPOSED ENTRY BANDS

**There is no entry today. No position is held, no orders exist.** These are the reopen gates, stated as adjudicated:

**Gate 1 — Price -  $\text{Price} \leq \$31.50 \rightarrow \text{re-derive entry (alert, not a resting order)}$ .** - We do not leave a bid down there. Reaching \$31.50 without knowing *why* changes what the name is worth; the alert fires a cause-check first, and the entry is re-derived after. From today's \$40.52 that is a -22.3% move.

**Gate 2 — The print - Q2 FY27 results (date UNCONFIRMED, estimated early September — must be verified): - Consumption run-rate  $\geq \$35\text{M}$  AND net dollar retention  $\geq 114\%$   $\rightarrow$  the starter case activates. - Net dollar retention  $\leq 114\%$ , or any guidance cut  $\rightarrow$  the rejection hardens.**

Notes on those two thresholds, so the reader knows where they came from: the \$35M consumption bar is the second bench's replacement for the first bench's original test (that GitLab disclose separate AI revenue of  $\geq 3\%$  of quarterly revenue), which the pricing architecture makes impossible to satisfy — GitLab bundles AI into the seat, so no such line can exist. A test that cannot fire is not a test. The 114% retention bar is where the observed -1pt/quarter decay lands by the print; holding above it is the falsification of the decay trend, and dropping to it or below confirms the trend continues.

**Sizing:** zero until a gate opens. If Gate 2 opens, the size under discussion is a **0.6% starter tranche**, not a full position — and that number must be re-derived at the then-current price, not carried over from the \$36.62 the court used.

**Trims / exits:** not applicable — nothing is owned.

**Catalyst dates:** Q2 FY27 earnings, estimated **2026-09-02** (derived from a market-data vendor, not confirmed by the company), with our internal resolution pack dated **2026-09-04**. **These two dates disagree and neither is company-confirmed.** That is a live gap, addressed below.

## ARMED SENSORS

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 31.5 (deck-provisional: Adjudicated reopen gate: alert + cause-check, then re-derive entry. Not a resting order.)
- filing watch: 8-K until 2027-02-14 (deck-provisional: Item 7.01 out-of-cycle business-update slides already revised the consumption metric on 2026-07-08; Ga)
- dated pack GTLB|2026-09-04: GTLB Q2 FY27: HIT = CRR >= \$35M AND DBNRR >= 114%.  
RESOLVE: python3 -m desk.calibration resolve GTLB FAVORABLE|UNFAVORABLE|MIXED
- dated pack GTLB|2026-09-02: GTLB: Q2 FY27 earnings per market-data feed — company has NOT confirmed; conflicts with the internal pack date. (date confirmed=False)

## What remains unverified

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- **AI/consumption revenue.** No figure exists in any primary filing, and given seat bundling, one may never exist. Everything published is attach-rate counts (“4 of 10 largest deals purchased Duo Agent Platform”) and vendor-computed return multiples.
- **Seat counts.** GitLab discloses none, anywhere — confirmed against the quarterly report, the annual report’s metric definitions, and the slide deck’s definitions appendix. So retention cannot be split into seats versus price versus consumption, and the central “are agents eating developer headcount” question cannot be tested from filings at all.
- **The \$15M → \$20M move.** Our two benches disagree on whether that is organic growth or a change of basis, and the adjudication left it open. Treat the growth rate as unproven.
- **The true peak of the retention series.** The company caps the reported figure at 130%, so the top of the series is not a real data point.
- **The earnings date,** per the sensor above.
- **What the +10.7% since 2026-08-07 is pricing.** No disclosure explains it. It may be sector beta, it may be positioning ahead of the print. Unexamined.
- **One-sided disclosure risk we accept by waiting:** if the print is strong, we buy higher. That is the cost of the gate, and it is the right cost given the price already sits above our own base-case value.

Primary source relied on throughout for the consumption metric and its restatement:

<https://www.sec.gov/Archives/edgar/data/1653482/000165348226000145/gtlb-20260708.htm>

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